

Major Points of a Sales Contract



Legally Required Points	Regular Points	Additionally Stated Points
seller	terms of delivery	terms and conditions (AGB)
buyer	terms of payment	reservation of ownership (<i>Eigentumsvorbehalt</i>)
quantity		right to exchange (<i>Umtauschrecht</i>)
quality		penalty (<i>Pönale</i>)
price		cancellation fee (<i>Stornogebühr; Reuegeld</i>)
		warranty (<i>Garantie</i>) and guarantee (<i>Gewährleistung</i>)
		packaging (<i>Verpackung</i>)

Terms of Delivery:

It is very important to know where the risks (= title) and costs are passed on from the seller to the buyer. This is almost always the place of jurisdiction as well. If not specifically stated in the contract the goods are to be delivered at the business premises (= Niederlassung) of the seller.

Trade Terms: are a set of definitions and explanations with the main emphasis on when the costs and risks pass from the seller to the buyer.

Terms and Phrases:

Trade Terms (Kaufvertragsklauseln):

- **ex works / ex factory** *ab Werk / ab Fabrik*
- **freight/carriage paid to....** *frachtfrei (benannter Bestimmungsort)*
- **free ... (buyer's address)** *frei Haus*

Delivery Period:

- **prompt delivery:** The goods can be delivered immediately on receipt of your order.
- **scheduled contract:** Delivery is to be made by the end of May.
- **fixed date delivery:** Delivery has to be on the 4th of May.



Prompte Lieferung: Die Waren können sofort nach Eingang Ihrer Bestellung geliefert werden.

Termingeschäft: Lieferung bis Ende Mai.

Fixgeschäft: Lieferung am 4. Mai fix.



Terms of Payment:

The terms of payment specify the place and time of payment, the method of payment and discounts, if any. The **place of payment** is mostly the address of the seller.

Discount:

A discount is a reduction on the list price or invoice price. The most important types of discount are: cash discount (Skonto), quantity discount (Mengenrabatt), trade discount (Händlerrabatt), annual discount (Umsatzbonus), ...

Cash Discount:

Where goods or services are sold on credit (auf Ziel), it is quite common for the supplier to offer the buyer a cash discount as an incentive for early payment. The cash discount – usually 2% or 3% - can be deducted from the invoice price if payment is effected within a stated period of time (discount period = Kassarespiro).

Terms and Phrases:

Prices and Discounts:

- Our catalogue prices are subject to a **special discount** of 10%.
- We grant a **trade discount** of 30% on our list prices
- The **quantity discounts** indicated in our price list vary according to the size of the order.
- packaging included

*Auf unsere Katalogpreise gewähren wir einen **Sonderrabatt** von 10%.*

*Wir gewähren einen **Händlerrabatt** von 30%.*

*Die in unserer Preisliste angegebenen **Mengenrabatte** richten sich nach der Größe der Bestellung.*

einschließlich Verpackung

Terms of Payment:

- payment in advance
- payment on receipt of invoice/
payment on invoice
- payment on receipt of goods
- payment within 60 days of invoice
- 30 days net
- two months' credit
- ... less 2% cash discount for
payment within seven days
- 10 days 2%, 30 days net
- down payment

Vorauszahlung

Zahlung bei Erhalt der Rechnung

Zahlung bei Erhalt der Waren

Zahlung innerhalb von 60 Tagen nach Rechnungsdatum

30 Tage netto (= ohne Abzüge)

2 Monate Ziel

abzüglich 2% Skonto für Zahlung innerhalb von 7 Tagen

Zahlung innerhalb von 10 Tagen abzüglich 2% Skonto oder innerhalb von 30 Tagen netto

Anzahlung

Other / Occasional Elements:



Terms and Conditions (AGB): It is the summary of all the conditions, clauses and stipulations (Bedingungen) of a contract of sale issued by either the seller or the buyer.

Reservation of Ownership (Eigentumsvorbehalt): Ownership of the goods is only acquired (erworben) by the buyer after having paid the total price.

Right to Exchange (Umtauschrecht): In principle (im Allgemeinen) the buyer has no right to exchange the goods he purchased unless this right is expressed in the contract.

Penalty (Pönale): This is a sum that has to be paid by the supplier in the case of late fulfillment of the contract. In spite of paying the penalty the supplier still has to deliver.

Cancellation Fee (Reuegeld, Stornogebühr): An agreed upon sum that has to be paid in case that either one of the parties wants to withdraw (zurücktreten) from the contract.

Guarantee (Gewährleistung): This is the legal liability (= gesetzliche Haftung) of the seller for defect goods (= mangelhafte Waren).

Warranty (Garantie): This is the voluntary statement of the seller to extend this legal liability. (= freiwillige Zusage des VK die gesetzliche Gewährleistung zu erweitern)

Packaging:

Costs: If no other agreement is made in the contract, the buyer has to pay packaging costs (but they are almost always included in the price).



Functions:

- protection of goods (Schutz)
- increased transport and storage potential (Transport- und Lagerfähigkeit)
- increased sales potential (Verkaufsfähigkeit)
- information for customers (Information)

Kinds of Packaging: If no other agreement is made in the contract, the seller has to package the goods as carefully as is necessary.